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UNITED STATES
SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

(Mark One)

☒ **ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the fiscal year ended January 31, 2023

OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the transition period from to

Commission file number: 001-39504

SNOWFLAKE INC.

(Exact name of registrant as specified in its charter)

Delaware	**46-0636374**
(State or other jurisdiction of incorporation or organization)	(I.R.S. Employer Identification No.)

Suite 3A, 106 East Babcock Street
Bozeman, MT 59715

(Address of principal executive offices)[1]

(844) 766-9355

(Registrant's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Class A Common Stock, $0.0001 par value	SNOW	The New York Stock Exchange

Securities registered pursuant to section 12(g) of the Act: Not Applicable

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☒ No ☐

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Exchange Act. Yes ☐ No ☒

Indicate by check mark whether the registrant: (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act. (Check one):

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Small reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. ☒

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to § 240.10D-1(b). ☐

The aggregate market value of voting stock held by non-affiliates of the Registrant on July 29, 2022 (the last business day of the Registrant's fiscal second quarter), based on the closing price of $149.91 for shares of the Registrant's Class A common stock as reported by the New York Stock Exchange, was approximately $46.2 billion.

As of March 17, 2023, there were 325.0 million shares of the registrant's Class A common stock, par value of $0.0001 per share, outstanding.

DOCUMENTS INCORPORATED BY REFERENCE

Portions of the registrant's definitive Proxy Statement relating to the 2023 Annual Meeting of Stockholders are incorporated herein by references in Part III of this Annual Report on Form 10-K to the extent stated herein. Such Proxy Statement will be filed with the Securities and Exchange Commission within 120 days of the registrant's fiscal year ended January 31, 2023.

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[1] We are a Delaware corporation with a globally distributed workforce and no corporate headquarters. Under the Securities and Exchange Commission's rules, we are required to designate a "principal executive office." For purposes of this report, we have designated our office in Bozeman, Montana as our principal executive office, as that is where our Chief Executive Officer and Chief Financial Officer are based.

SNOWFLAKE INC.
CONSOLIDATED BALANCE SHEETS
(in thousands, except per share data)

	January 31, 2023	January 31, 2022
Assets		
Current assets:		
Cash and cash equivalents	$ 939,902	$ 1,085,729
Short-term investments	3,067,966	2,766,364
Accounts receivable, net	715,821	545,629
Deferred commissions, current	67,901	51,398
Prepaid expenses and other current assets	193,100	149,523
Total current assets	4,984,690	4,598,643
Long-term investments	1,073,023	1,256,207
Property and equipment, net	160,823	105,079
Operating lease right-of-use assets	231,266	190,356
Goodwill	657,370	8,449
Intangible assets, net	186,013	37,141
Deferred commissions, non-current	145,286	124,517
Other assets	283,851	329,306
Total assets	$ 7,722,322	$ 6,649,698
Liabilities and Stockholders' Equity		
Current liabilities:		
Accounts payable	$ 23,672	$ 13,441
Accrued expenses and other current liabilities	269,069	200,664
Operating lease liabilities, current	27,301	25,101
Deferred revenue, current	1,673,475	1,157,887
Total current liabilities	1,993,517	1,397,093
Operating lease liabilities, non-current	224,357	181,196
Deferred revenue, non-current	11,463	11,180
Other liabilities	24,370	11,184
Total liabilities	2,253,707	1,600,653
Commitments and contingencies (Note 10)		
Stockholders' equity:		
Preferred stock; $0.0001 par value per share; 200,000 shares authorized, zero shares issued and outstanding as of each January 31, 2023 and 2022	—	—
Common stock; $0.0001 par value per share; 2,500,000 Class A shares authorized, 323,305 and 312,377 shares issued and outstanding as of January 31, 2023 and 2022, respectively; 185,461 Class B shares authorized, zero shares issued and outstanding as of each January 31, 2023 and 2022	32	31
Additional paid-in capital	8,210,750	6,984,669
Accumulated other comprehensive loss	(38,272)	(16,286)
Accumulated deficit	(2,716,074)	(1,919,369)
Total Snowflake Inc. stockholders' equity	5,456,436	5,049,045
Noncontrolling interest	12,179	—
Total stockholders' equity	5,468,615	5,049,045
Total liabilities and stockholders' equity	$ 7,722,322	$ 6,649,698

See accompanying notes to consolidated financial statements.

SNOWFLAKE INC.
CONSOLIDATED STATEMENTS OF OPERATIONS
(in thousands, except per share data)

	Fiscal Year Ended January 31,		
	2023	2022	2021
Revenue	$ 2,065,659	$ 1,219,327	$ 592,049
Cost of revenue	717,540	458,433	242,588
Gross profit	1,348,119	760,894	349,461
Operating expenses:			
Sales and marketing	1,106,507	743,965	479,317
Research and development	788,058	466,932	237,946
General and administrative	295,821	265,033	176,135
Total operating expenses	2,190,386	1,475,930	893,398
Operating loss	(842,267)	(715,036)	(543,937)
Interest income	73,839	9,129	7,507
Other income (expense), net	(47,565)	28,947	(610)
Loss before income taxes	(815,993)	(676,960)	(537,040)
Provision for (benefit from) income taxes	(18,467)	2,988	2,062
Net loss	(797,526)	(679,948)	(539,102)
Less: net loss attributable to noncontrolling interest	(821)	—	—
Net loss attributable to Snowflake Inc.	$ (796,705)	$ (679,948)	$ (539,102)
Net loss per share attributable to Snowflake Inc. Class A and Class B common stockholders—basic and diluted[1]	$ (2.50)	$ (2.26)	$ (3.81)
Weighted-average shares used in computing net loss per share attributable to Snowflake Inc. Class A and Class B common stockholders—basic and diluted[1]	318,730	300,273	141,613

[1] On March 1, 2021, all shares of the Company's then-outstanding Class B common stock were automatically converted into the same number of shares of Class A common stock, pursuant to the terms of the Company's amended and restated certificate of incorporation. No additional shares of Class B common stock will be issued following such conversion. See Note 12 for further details.

See accompanying notes to consolidated financial statements.

SNOWFLAKE INC.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE LOSS
(in thousands)

	Fiscal Year Ended January 31,		
	2023	2022	2021
Net loss	$ (797,526)	$ (679,948)	$ (539,102)
Other comprehensive income (loss):			
Foreign currency translation adjustments	(1,367)	(918)	118
Net change in unrealized gains (losses) on available-for-sale debt securities	(20,619)	(15,807)	105
Total other comprehensive income (loss)	(21,986)	(16,725)	223
Comprehensive loss attributable to Snowflake Inc.	$ (819,512)	$ (696,673)	$ (538,879)

See accompanying notes to consolidated financial statements.

SNOWFLAKE INC.
CONSOLIDATED STATEMENTS OF REDEEMABLE CONVERTIBLE PREFERRED STOCK AND STOCKHOLDERS' EQUITY (DEFICIT)
(in thousands, except per share data)

	Redeemable Convertible Preferred Stock		Class A and Class B Common Stock[1]		Additional Paid-in Capital	Accumulated Other Comprehensive Income (Loss)	Accumulated Deficit	Total Snowflake Inc. Stockholders' Equity (Deficit)	Noncontrolling Interest	Total Stockholders' Equity (Deficit)
	Shares	Amount	Shares	Amount						
BALANCE—January 31, 2020	169,921	$ 936,474	55,452	$ 6	$ 155,340	$ 216	$ (700,319)	$ (544,757)	$ —	$ (544,757)
Issuance of Series G-1 and Series G-2 redeemable convertible preferred stock at $38.77 per share, net of issuance costs of $230	12,350	478,573	—	—	—	—	—	—	—	—
Conversion of redeemable convertible preferred stock to common stock upon initial public offering	(182,271)	(1,415,047)	182,271	18	1,415,029	—	—	1,415,047	—	1,415,047
Issuance of common stock upon initial public offering and private placements, net of underwriting discounts	—	—	36,367	4	4,242,280	—	—	4,242,284	—	4,242,284
Issuance of common stock upon exercise of stock options	—	—	13,799	—	53,671	—	—	53,671	—	53,671
Exercise of common stock warrants	—	—	32	—	—	—	—	—	—	—
Repurchase of early exercised stock options	—	—	(40)	—	—	—	—	—	—	—
Vesting of early exercised stock options and restricted common stock	—	—	—	—	5,592	—	—	5,592	—	5,592
Vesting of restricted stock units	—	—	37	—	—	—	—	—	—	—
Stock-based compensation	—	—	—	—	303,513	—	—	303,513	—	303,513
Other comprehensive income	—	—	—	—	—	223	—	223	—	223
Net loss	—	—	—	—	—	—	(539,102)	(539,102)	—	(539,102)
BALANCE—January 31, 2021	—	—	287,918	28	6,175,425	439	(1,239,421)	4,936,471	—	4,936,471
Issuance of common stock upon exercise of stock options	—	—	20,903	3	126,998	—	—	127,001	—	127,001
Issuance of common stock under employee stock purchase plan	—	—	370	—	52,227	—	—	52,227	—	52,227
Vesting of early exercised stock options	—	—	—	—	750	—	—	750	—	750
Vesting of restricted stock units	—	—	3,186	—	—	—	—	—	—	—
Stock-based compensation	—	—	—	—	629,269	—	—	629,269	—	629,269
Other comprehensive loss	—	—	—	—	—	(16,725)	—	(16,725)	—	(16,725)
Net loss	—	—	—	—	—	—	(679,948)	(679,948)	—	(679,948)
BALANCE—January 31, 2022	—	—	312,377	31	6,984,669	(16,286)	(1,919,369)	5,049,045	—	5,049,045
Issuance of common stock upon exercise of stock options	—	—	6,118	1	39,742	—	—	39,743	—	39,743
Issuance of common stock under employee stock purchase plan	—	—	286	—	40,931	—	—	40,931	—	40,931
Issuance of common stock in connection with a business combination	—	—	1,916	—	438,916	—	—	438,916	—	438,916
Issuance of common stock in connection with a business combination subject to future vesting	—	—	409	—	—	—	—	—	—	—
Vesting of early exercised stock options	—	—	—	—	244	—	—	244	—	244
Vesting of restricted stock units	—	—	3,348	—	—	—	—	—	—	—
Shares withheld related to net share settlement of equity awards	—	—	(1,149)	—	(184,702)	—	—	(184,702)	—	(184,702)
Stock-based compensation	—	—	—	—	890,950	—	—	890,950	—	890,950
Capital contributions from noncontrolling interest holders	—	—	—	—	—	—	—	—	13,000	13,000
Other comprehensive loss	—	—	—	—	—	(21,986)	—	(21,986)	—	(21,986)
Net loss	—	—	—	—	—	—	(796,705)	(796,705)	(821)	(797,526)
BALANCE—January 31, 2023	—	$ —	323,305	$ 32	$ 8,210,750	$ (38,272)	$ (2,716,074)	$ 5,456,436	$ 12,179	$ 5,468,615

[1] On March 1, 2021, all shares of the Company's then-outstanding Class B common stock were automatically converted into the same number of shares of Class A common stock, pursuant to the terms of the Company's amended and restated certificate of incorporation. No additional shares of Class B common stock will be issued following such conversion. See Note 12 for further details.

See accompanying notes to consolidated financial statements.

SNOWFLAKE INC.
CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)

	Fiscal Year Ended January 31,		
	2023	2022	2021
Cash flows from operating activities:			
Net loss	$ (797,526)	$ (679,948)	$ (539,102)
Adjustments to reconcile net loss to net cash provided by (used in) operating activities:			
Depreciation and amortization	63,535	21,498	9,826
Non-cash operating lease costs	46,240	35,553	33,475
Amortization of deferred commissions	57,445	37,876	28,841
Stock-based compensation, net of amounts capitalized	861,533	605,095	301,441
Net amortization of premiums on investments	3,497	48,002	8,630
Net unrealized losses (gains) on strategic investments in equity securities	46,435	(27,621)	—
Deferred income tax	(26,664)	(717)	(30)
Other	1,618	2,014	4,610
Changes in operating assets and liabilities, net of effects of business combinations:			
Accounts receivable	(166,965)	(251,652)	(116,289)
Deferred commissions	(95,107)	(95,877)	(51,444)
Prepaid expenses and other assets	(2,904)	(159,159)	(62,349)
Accounts payable	8,024	7,371	(2,878)
Accrued expenses and other liabilities	74,519	79,772	58,252
Operating lease liabilities	(42,342)	(38,249)	(31,281)
Deferred revenue	514,301	526,221	312,881
Net cash provided by (used in) operating activities	545,639	110,179	(45,417)
Cash flows from investing activities:			
Purchases of property and equipment	(25,128)	(16,221)	(35,037)
Capitalized internal-use software development costs	(24,012)	(12,772)	(5,293)
Cash paid for business combinations, net of cash and cash equivalents acquired	(362,609)	—	(6,035)
Purchases of intangible assets	(700)	(24,334)	(8,374)
Purchases of investments	(3,901,321)	(4,250,338)	(4,859,852)
Sales of investments	58,813	440,069	177,070
Maturities and redemptions of investments	3,657,072	3,842,796	700,876
Net cash used in investing activities	(597,885)	(20,800)	(4,036,645)
Cash flows from financing activities:			
Proceeds from issuance of redeemable convertible preferred stock, net of issuance costs	—	—	478,573
Proceeds from initial public offering and private placements, net of underwriting discounts	—	—	4,242,284
Proceeds from early exercised stock options	—	—	159
Proceeds from exercise of stock options	39,893	127,036	53,378
Proceeds from issuance of common stock under employee stock purchase plan	40,931	52,227	—
Proceeds from repayments of a nonrecourse promissory note	—	—	2,090

	Fiscal Year Ended January 31,		
	2023	2022	2021
Repurchases of early exercised stock options	—	—	(30)
Taxes paid related to net share settlement of equity awards	(184,648)	—	—
Capital contributions from noncontrolling interest holders	13,000	—	—
Payments of deferred purchase consideration for business combinations	(1,800)	(1,065)	(1,164)
Net cash provided by (used in) financing activities	(92,624)	178,198	4,775,290
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(933)	(236)	(11)
Net increase (decrease) in cash, cash equivalents, and restricted cash	(145,803)	267,341	693,217
Cash, cash equivalents, and restricted cash—beginning of period	1,102,534	835,193	141,976
Cash, cash equivalents, and restricted cash—end of period	$ 956,731	$ 1,102,534	$ 835,193
Supplemental disclosures of cash flow information:			
Cash paid for income taxes	$ 6,550	$ 1,482	$ 1,195
Supplemental disclosures of non-cash investing and financing activities			
Property and equipment included in accounts payable and accrued expenses	$ 6,317	$ 5,115	$ 6,941
Stock-based compensation included in capitalized software development costs	$ 28,467	$ 23,620	$ 2,072
Vesting of early exercised stock options	$ 244	$ 750	$ 3,502
Issuance of common stock in connection with a business combination	$ 438,916	$ —	$ —
Purchases of intangible assets included in accrued expenses and other liabilities	$ —	$ 4,544	$ —
Reconciliation of cash, cash equivalents, and restricted cash:			
Cash and cash equivalents	$ 939,902	$ 1,085,729	$ 820,177
Restricted cash—included in other assets and prepaid expenses and other current assets	16,829	16,805	15,016
Total cash, cash equivalents, and restricted cash	$ 956,731	$ 1,102,534	$ 835,193

See accompanying notes to consolidated financial statements.

Research and Development Costs

Research and development costs are expensed as incurred, unless they qualify as internal-use software development costs. Research and development expenses consist primarily of personnel-related expenses associated with the Company's research and development staff, including salaries, benefits, bonuses, and stock-based compensation. Research and development expenses also include contractor or professional services fees, third-party cloud infrastructure expenses incurred in developing the Company's platform, expenses associated with computer equipment, software and subscription services dedicated for use by the Company's research and development organization, and allocated overhead.

Internal-Use Software Development Costs

The Company capitalizes qualifying internal-use software development costs, primarily related to its cloud platform. The costs consist of personnel costs (including related benefits and stock-based compensation) that are incurred during the application development stage. Capitalization of costs begins when two criteria are met: (1) the preliminary project stage is completed, and (2) it is probable that the software will be completed and used for its intended function. Capitalization ceases when the software is substantially complete and ready for its intended use, including the completion of all significant testing. Costs related to preliminary project activities and post-implementation operating activities are expensed as incurred.

Capitalized costs are included in property and equipment, net on the consolidated balance sheets. These costs are amortized over the estimated useful life of the software, which is three years, on a straight-line basis. The amortization of capitalized costs related to the Company's platform applications is primarily included in cost of revenue in the consolidated statements of operations.

6. Property and Equipment, Net

Property and equipment, net consisted of the following (in thousands):

	January 31, 2023	January 31, 2022
Leasehold improvements	$ 59,872	$ 51,801
Computers, equipment, and software	20,050	8,735
Furniture and fixtures	14,800	8,488
Capitalized internal-use software development costs	44,059	17,154
Construction in progress—capitalized internal-use software development costs	61,575	36,163
Construction in progress—other	7,313	6,185
Total property and equipment, gross	207,669	128,526
Less: accumulated depreciation and amortization[1]	(46,846)	(23,447)
Total property and equipment, net	$ 160,823	$ 105,079

[1] Includes $19.9 million and $9.7 million of accumulated amortization related to capitalized internal-use software development costs as of January 31, 2023 and 2022, respectively.

Depreciation and amortization expense was $24.7 million, $13.7 million, and $7.0 million for the fiscal years ended January 31, 2023, 2022, and 2021, respectively. Included in these amounts were the amortization of capitalized internal-use software development costs of $10.2 million, $4.2 million, and $2.9 million for the fiscal years ended January 31, 2023, 2022, and 2021, respectively.